The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 30 June 2013

BARCLAYS BANK OF KENYA LIMITED

FINANCIAL STATEMENTS

	STATEMENT OF FINANCIAL POSITION - BANK **AS AT 30 JUNE 2013**	**June 2012 Shs '000 Unaudited**	**December 2012 Shs '000 Audited**	**March 2013 Shs '000 Unaudited**	**June 2013 Shs '000 Unaudited**
A	**A S S E T S**				
1	Cash balances (both local and foreign)	4,157,124	6,733,037	5,724,651	5,273,812
2	Balances due from Central Bank of Kenya	8,656,353	9,752,786	9,338,427	8,708,380
3	Kenya Government and other securities held for dealing purposes	-	-	-	1,930,820
4	Financial Assets at fair value through profit and loss	641,829	788,513	893,615	979,113
a)	Investment Securities:	-	-	-	-
	Held to Maturity:	-	-	-	-
	a. Kenya Government securities	-	-	-	-
	b. Other securities	-	-	-	-
b)	Available for sale:	35,994,222	47,535,593	46,344,761	42,978,449
	a. Kenya Government securities	35,994,222	47,535,593	46,344,761	42,978,449
	b. Other securities	-	-	-	-
6	Deposits and balances due from local banking Institutions	-	-	200,000	3,850,000
7	Deposits and balances due from banking Institutions abroad	494,871	166,441	332,066	343,394
8	Tax recoverable	-	-	-	511,506
9	Loans and advances to customers(net)	101,100,229	104,204,295	108,213,447	107,050,039
10	Balances due from banking institutions in the group	6,859,443	4,065,943	7,469,851	3,180,426
11	Investment in Associates	-	-	-	-
12	Investment in Subsidiary Companies	275,678	275,678	275,678	275,678
13	Investment in joint Ventures	-	-	-	-
14	Investment properties	-	-	-	-
15	Property and equipment	3,087,520	2,669,775	2,606,394	2,635,238
16	Prepaid Operating Rental Leases	59,462	58,739	58,489	58,239
17	Intangible assets	3,136,715	3,452,907	3,317,343	3,164,517
18	Deferred Tax	-	-	68,816	-
19	Retirement Benefit Asset	-	-	-	-
20	Other assets	4,435,935	5,397,863	4,805,625	4,895,404
21	**TOTAL ASSET**	**168,899,381**	**185,101,570**	**189,649,163**	**185,835,015**
B	**L I A B I L I T I E S**				
22	Balances due to Central Bank	-	-	-	
23	Customers' deposits	122,484,346	137,915,391	139,989,844	138,684,868
24	Deposits and balances due to Banking institutions (Local)	-	1,575,000	1,900,000	-
25	Deposits and balances due to Banking institutions (Foreign)	157,028	149,081	121,571	186,054
26	Other money market deposits	-	-	-	-
27	Borrowed Funds	-	-	-	-
28	Balances due to banking institutions in the group	7,502,542	2,257,860	3,283,240	2,769,864
29	Tax payable	451,240	1,128,015	1,340,510	-
30	Dividends payable	-	-	-	2,344,114
31	Deferred tax liability	378,668	223,767	-	407,328
32	Retirement Benefit Liability	1,068,018	664,445	630,082	545,728
33	Other liabilities	11,270,399	11,604,562	11,363,720	10,709,757
34	**Total liabilities**	**143,312,241**	**155,518,121**	**158,628,967**	**155,647,713**
C	**Shareholders' Funds**				
35	Paid up / Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768
36	Share premium / (discount)	-	-	-	-
37	Revaluation reserves	(499,180)	(206,772)	(429,402)	366,885
38	Retained earnings / (Accumulated losses)	21,974,111	21,811,005	23,717,144	25,947,791
39	Statutory loan loss reserve	1,396,441	1,461,373	1,214,611	1,156,858
40	Other reserves	-	-	-	-
41	Proposed dividend	-	3,802,075	3,802,075	-
42	Capital Grants	-	-	-	-
43	**Total shareholders' funds**	**25,587,140**	**29,583,449**	**31,020,196**	**30,187,302**
44	**Total liabilities and total shareholders funds**	**168,899,381**	**185,101,570**	**189,649,163**	**185,835,015**

	STATEMENT OF COMPREHENSIVE INCOME - THE BANK FOR THE PERIOD ENDING 30 JUNE 2013	June 2012 Shs '000 Unaudited	December 2012 Shs '000 Audited	March 2013 Shs '000 Unaudited	June 2013 Shs '000 Unaudited
1.0	**INTEREST INCOME**				
1.1	Loans and advances to customers	7,336,137	14,897,931	3,605,391	7,292,516
1.2	Government securities	2,317,909	4,300,929	1,134,452	2,289,485
1.3	Deposits and placements with banking institutions	95,766	220,079	46,770	127,291
1.4	Other interest income	884,648	1,622,064	352,697	747,853
1.5	**Total interest income**	**10,634,460**	**21,041,003**	**5,139,310**	**10,457,145**
2.0	**INTEREST EXPENSES**				
2.1	Customer deposits	1,222,189	2,240,523	530,037	1,044,877
2.2	Deposits and placements with banking institutions	140,676	177,956	14,290	30,034
2.3	Other interest expenses	298,211	477,356	75,955	150,869
2.4	**Total interest expenses**	**1,661,076**	**2,895,835**	**620,282**	**1,225,780**
3.0	**NET INTEREST INCOME**	**8,973,384**	**18,145,168**	**4,519,028**	**9,231,365**
4.0	**NON - OPERATING INCOME**				
4.1	Fees and commissions income on loans & Advances	774,534	1,595,978	495,512	928,717
4.2	Other fees and commissions	2,514,642	4,980,476	1,199,021	2,377,523
4.3	Foreign exchange trading income	1,365,976	2,437,256	438,504	968,841
4.4	Dividend income	-	-	-	-
4.5	Other income	67,862	265,509	119,541	216,825
4.6	**Total non-interest income**	**4,723,014**	**9,279,219**	**2,252,578**	**4,491,906**
5.0	**Total Operating Income**	**13,696,398**	**27,424,387**	**6,771,606**	**13,723,271**
6.0	**OPERATING EXPENSES**				
6.1	Loan loss provision	458,922	144,376	270,798	581,154
6.2	Staff costs	3,808,989	7,814,148	1,936,993	3,846,224
6.3	Directors emoluments	13,167	17,469	4,762	7,590
6.4	Rental charge	473,159	1,033,254	235,713	518,000
6.5	Depreciation on property and equipment	334,169	626,880	137,931	282,423
6.6	Amortisation charges	251,357	564,707	152,269	305,095
6.7	Other operating expenses	2,042,950	4,203,809	930,338	1,919,776
7.0	**Total operating expenses**	**7,382,713**	**14,404,643**	**3,668,804**	**7,460,262**
	Profit before tax and exceptional items	**6,313,685**	**13,019,744**	**3,102,802**	**6,263,009**
8	Exceptional items	-	-	658,259	788,259
9	**Profit after exceptional itmes**	**6,313,685**	**13,019,744**	**2,444,543**	**5,474,750**
10	Current tax	(2,029,051)	(4,097,965)	(982,337)	(1,804,773)
11	Deferred tax	(17,595)	(181,076)	197,170	62,292
12	**Profit after tax and exceptional items**	**4,267,039**	**8,740,703**	**1,659,376**	**3,732,269**
13	**OTHER COMPREHENSIVE INCOME**				
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
13.2	Fair value changes in available for sale financial assets	4,043,554	3,035,051	(318,043)	819,510
13.3	Revaluation surplus on Property,plant and equipment	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(1,213,066)	(910,515)	95,413	(245,853)
13.6	Acturial gains/losses on retirement benefit obligations	-	416,000	-	-
14	**Other Comprehensive Income for the year net of tax**	2,830,488	2,540,536	(222,630)	573,657
15	**Total comprehensive income for the year**	**7,097,527**	**11,281,239**	**1,436,746**	**4,305,926**
	Earnings per Share (Shs)	0.79	1.61	0.31	0.69
	Dividends per share (Shs)	0.30	0.70	-	0.20

		June 2012 Shs '000 Unaudited	December 2012 Shs '000 Audited	March 2013 Shs '000 Unaudited	June 2013 Shs '000 Unaudited
iii	**OTHER DISCLOSURES**				
1)	**Non-performing loans and advances**				
a)	Gross non-performing loans and advances	4,509,270	3,771,579	3,754,159	3,935,138
b)	Less: Interest in suspense	-	-	-	-
c)	**Total non performing loans and advances**	4,509,270	3,771,579	3,754,159	3,935,138
d)	less: loan loss provisions	3,538,254	3,153,551	2,980,234	3,022,275
e)	Net non performing loans(c-d)	971,016	618,028	773,925	912,863
f)	Discounted value of securities	471,720	306,006	284,818	248,693
g)	**Net NPLs (Excess) / Exposure (e-f)**	499,296	312,022	489,107	664,170
2)	**Insider loans and advances**				
a)	Directors ,shareholders and associates	124,656	114,804	113,435	71,421
b)	Employees	8,413,397	8,861,374	8,869,646	8,773,857
c)	Total insider loans and advances	8,538,053	8,976,178	8,983,081	8,845,278
3)	**Off Balance sheet items**				
a)	Letters of credit ,guarantees, acceptances	23,501,483	31,539,585	30,151,822	30,980,509
b)	Forwards, swaps and options	1,359,772	5,096,028	4,088,365	4,513,517
c)	Other contingent liabilities	5,325,300	3,930,700	5,048,950	3,613,550
	Total Contingent liabilities	**30,186,555**	**40,566,313**	**39,289,137**	**39,107,576**
4)	**Capital Strength**				
a)	Core capital	22,556,351	28,329,190	25,603,224	26,797,424
b)	Minimum statutory capital	700,000	1,000,000	1,000,000	1,000,000
c)	Excess / (Defeciency)	**21,856,351**	**27,329,190**	**24,603,224**	**25,797,424**
d)	Supplementary capital	4,342,041	3,839,773	3,584,210	2,156,369
e)	Total capital	**26,898,392**	**32,168,963**	**29,187,434**	**28,953,793**
f)	Total risk weighted assets	122,115,911	124,840,096	127,997,262	181,109,177
g)	Core capital / total deposit liabilities	18.4%	20.5%	18.3%	19.5%
h)	Minimum statutory ratio	8.0%	8.0%	8.0%	10.5%
i)	Excess / (Defeciency)	10.4%	12.5%	10.3%	9.0%
j)	Core capital / total risk weighted assets	18.5%	22.7%	20.0%	14.8%
k)	Minimum statutory ratio	8.0%	8.0%	8.0%	10.5%
l)	Excess / (Defeciency)	10.5%	14.7%	12.0%	4.3%
m)	Total capital / total risk weighted assets	22.0%	25.8%	22.8%	16.0%
n)	Minimum statutory ratio	12.0%	12.0%	12.0%	14.5%
o)	Excess / (Defeciency)	10.0%	13.8%	10.8%	1.5%
5	**Liquidity**				
a)	Liquidity ratio	39.7%	46.8%	45.8%	44.9%
b)	Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c)	Excess / (Defeciency)	19.7%	26.8%	25.8%	24.9%

Message from the Directors:

The Board of Directors of Barclays Bank of Kenya Limited have resolved to declare an interim dividend for the year 2013 of Shs 0.20 per share of Shs 0.50 each of the Company to be paid on or about Friday, 4 October 2013 to shareholders registered at the close of business on Friday, 6 September 2013.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.barclays.co.ke. They may also be accessed at the institutions head office located at The West End Building, Waiyaki Way.

Francis Okomo-Okello — **Chairman**

Jeremy Awori — **Managing Director**

	STATEMENT OF FINANCIAL POSITION - GROUP AS AT 30 JUNE 2013	June 2012 Shs '000 Unaudited	December 2012 Shs '000 Audited	March 2013 Shs '000 Unaudited	June 2013 Shs '000 Unaudited
A	**A S S E T S**				
1	Cash balances (both local and foreign)	4,157,124	6,733,037	5,724,651	5,273,812
2	Balances due from Central Bank of Kenya	8,656,353	9,752,786	9,338,427	8,708,380
3	Kenya Government and other securities held for dealing purposes	-	-	-	1,930,820
4	Financial Assets at fair value through profit and loss	641,829	788,513	893,615	979,113
a)	Investment Securities:	-	-	-	-
	Held to Maturity:	-	-	-	-
	a. Kenya Government securities	-	-	-	-
	b. Other securities	-	-	-	-
b)	Available for sale:	35,994,222	47,535,593	46,344,761	42,978,449
	a. Kenya Government securities	35,994,222	47,535,593	46,344,761	42,978,449
	b. Other securities	-	-	-	-
6	Deposits and balances due from local banking Institutions	-	-	200,000	3,850,000
7	Deposits and balances due from banking Institutions abroad	494,871	166,441	332,066	343,394
8	Tax recoverable	-	-	-	511,506
9	Loans and advances to customers(net)	101,100,229	104,204,295	108,213,447	107,050,039
10	Balances due from banking institutions in the group	6,859,443	4,065,943	7,469,851	3,180,426
11	Investment in Associates	-	-	-	-
12	Investment in Subsidiary Companies	-	-	-	-
13	Investment in joint Ventures	-	-	-	-
14	Investment properties	-	-	-	-
15	Property and equipment	3,087,520	2,669,775	2,606,394	2,635,238
16	Prepaid Operating Rental Leases	59,462	58,739	58,489	58,239
17	Intangible assets	3,136,715	3,452,907	3,317,343	3,164,517
18	Deferred Tax	-	-	68,816	-
19	Retirement Benefit Asset	-	-	-	-
20	Other assets	4,435,935	5,397,863	4,808,618	4,898,397
21	**TOTAL ASSET**	**168,623,703**	**184,825,892**	**189,376,478**	**185,562,330**
B	**L I A B I L I T I E S**				
22	Balances due to Central Bank	-	-	-	-
23	Customers' deposits	122,617,781	137,915,391	139,989,844	138,684,868
24	Deposits and balances due to Banking institutions (Local)	-	1,575,000	1,900,000	-
25	Deposits and balances due to Banking institutions (Foreign)	157,028	149,081	121,571	186,054
26	Other money market deposits	-	-	-	-
27	Borrowed Funds	-	-	-	-
28	Balances due to banking institutions in the group	7,229,857	1,985,175	3,010,555	2,497,179
29	Tax payable	448,247	1,125,022	1,340,510	-
30	Dividends payable	-	-	-	2,344,114
31	Deferred tax liability	378,668	223,767	-	407,328
32	Retirement Benefit Liability	1,068,018	664,445	630,082	545,728
33	Other liabilities	11,136,964	11,604,562	11,363,720	10,709,757
34	**Total liabilities**	**143,036,563**	**155,242,443**	**158,356,282**	**155,375,028**
C	**Shareholders' Funds**				
35	Paid up / Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768
36	Share premium / (discount)	-	-	-	-
37	Revaluation reserves	(499,180)	(206,772)	(429,402)	366,885
38	Retained earnings / (Accumulated losses)	21,974,111	21,811,005	23,717,144	25,947,791
39	Statutory loan loss reserve	1,396,441	1,461,373	1,214,611	1,156,858
40	Other reserves	-	-	-	-
41	Proposed dividend	-	3,802,075	3,802,075	-
42	Capital Grants	-	-	-	-
43	**Total shareholders' funds**	**25,587,140**	**29,583,449**	**31,020,196**	**30,187,302**
44	**Total liabilities and total shareholders funds**	**168,623,703**	**184,825,892**	**189,376,478**	**185,562,330**

	STATEMENT OF COMPREHENSIVE INCOME - THE BANK FOR THE PERIOD ENDING 30 JUNE 2013	June 2012 Shs '000 Unaudited	December 2012 Shs '000 Audited	March 2013 Shs '000 Unaudited	June 2013 Shs '000 Unaudited
1.0	**INTEREST INCOME**				
1.1	Loans and advances to customers	7,336,137	14,897,931	3,605,391	7,292,516
1.2	Government securities	2,317,909	4,300,929	1,134,452	2,289,485
1.3	Deposits and placements with banking institutions	95,766	220,079	46,770	127,291
1.4	Other interest income	884,648	1,622,064	352,697	747,853
1.5	**Total interest income**	**10,634,460**	**21,041,003**	**5,139,310**	**10,457,145**
2.0	**INTEREST EXPENSES**				
2.1	Customer deposits	1,222,189	2,240,523	530,037	1,044,877
2.2	Deposits and placements with banking institutions	140,676	177,956	14,290	30,034
2.3	Other interest expenses	298,211	477,356	75,955	150,869
2.4	**Total interest expenses**	**1,661,076**	**2,895,835**	**620,282**	**1,225,780**
3.0	**NET INTEREST INCOME**	**8,973,384**	**18,145,168**	**4,519,028**	**9,231,365**
4.0	**NON - OPERATING INCOME**				
4.1	Fees and commissions income on loans & Advances	774,534	1,595,978	495,512	928,717
4.2	Other fees and commissions	2,514,642	4,980,476	1,199,021	2,377,523
4.3	Foreign exchange trading income	1,365,976	2,437,256	438,504	968,841
4.4	Dividend income	-	-	-	-
4.5	Other income	67,862	265,509	119,541	216,825
4.6	**Total non-interest income**	**4,723,014**	**9,279,219**	**2,252,578**	**4,491,906**
5.0	**Total Operating Income**	**13,696,398**	**27,424,387**	**6,771,606**	**13,723,271**
6.0	**OPERATING EXPENSES**				
6.1	Loan loss provision	458,922	144,376	270,798	581,154
6.2	Staff costs	3,808,989	7,814,148	1,936,993	3,846,224
6.3	Directors emoluments	13,167	17,469	4,762	7,590
6.4	Rental charge	473,159	1,033,254	235,713	518,000
6.5	Depreciation on property and equipment	334,169	626,880	137,931	282,423
6.6	Amortisation charges	251,357	564,707	152,269	305,095
6.7	Other operating expenses	2,042,950	4,203,809	930,338	1,919,776
7.0	**Total operating expenses**	**7,382,713**	**14,404,643**	**3,668,804**	**7,460,262**
	Profit before tax and exceptional items	**6,313,685**	**13,019,744**	**3,102,802**	**6,263,009**
8	Exceptional items	-	-	658,259	788,259
9	**Profit after exceptional itmes**	**6,313,685**	**13,019,744**	**2,444,543**	**5,474,750**
10	Current tax	(2,029,051)	(4,097,965)	(982,337)	(1,804,773)
11	Deferred tax	(17,595)	(181,076)	197,170	62,292
12	**Profit after tax and exceptional items**	**4,267,039**	**8,740,703**	**1,659,376**	**3,732,269**
13	**OTHER COMPREHENSIVE INCOME**				
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
13.2	Fair value changes in available for sale financial assets	4,043,554	3,035,051	(318,043)	819,510
13.3	Revaluation surplus on Property,plant and equipment	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(1,213,066)	(910,515)	95,413	(245,853)
13.6	Acturial gains/losses on retirement benefit obligations	-	416,000	-	-
14	**Other Comprehensive Income for the year net of tax**	2,830,488	2,540,536	(222,630)	573,657
15	**Total comprehensive income for the year**	**7,097,527**	**11,281,239**	**1,436,746**	**4,305,926**

		June 2012 Shs '000 Unaudited	December 2012 Shs '000 Audited	March 2013 Shs '000 Unaudited	June 2013 Shs '000 Unaudited
iii	**OTHER DISCLOSURES**				
1)	**Non-performing loans and advances**				
a)	Gross non-performing loans and advances	4,509,270	3,771,579	3,754,159	3,935,138
b)	Less: Interest in suspense	-			-
c)	**Total non performing loans and advances**	4,509,270	3,771,579	3,754,159	3,935,138
d)	less: loan loss provisions	3,538,254	3,153,551	2,980,234	3,022,275
e)	Net non performing loans(c-d)	971,016	618,028	773,925	912,863
f)	Discounted value of securities	471,720	306,006	284,818	248,693
g)	**Net NPLs (Excess) / Exposure (e-f)**	499,296	312,022	489,107	664,170
2)	**Insider loans and advances**				
a)	Directors ,shareholders and associates	124,656	114,804	113,435	71,421
b)	Employees	8,413,397	8,861,374	8,869,646	8,773,857
c)	Total insider loans and advances	8,538,053	8,976,178	8,983,081	8,845,278
3)	**Off Balance sheet items**				
a)	Letters of credit ,guarantees, acceptances	23,501,483	31,539,585	30,151,822	30,980,509
b)	Forwards, swaps and options	1,359,772	5,096,028	4,088,365	4,513,517
c)	Other contingent liabilities	5,325,300	3,930,700	5,048,950	3,613,550
	Total Contingent liabilities	**30,186,555**	**40,566,313**	**39,289,137**	**39,107,576**
4)	**Capital Strength**				
a)	Core capital	22,556,351	28,329,190	25,603,224	26,797,424
b)	Minimum statutory capital	700,000	1,000,000	1,000,000	1,000,000
c)	Excess / (Defeciency)	**21,856,351**	**27,329,190**	**24,603,224**	**25,797,424**
d)	Supplementary capital	4,342,041	3,839,773	3,584,210	2,156,369
e)	Total capital	**26,898,392**	**32,168,963**	**29,187,434**	**28,953,793**
f)	Total risk weighted assets	122,115,911	124,840,096	127,997,262	181,109,177
g)	Core capital / total deposit liabilities	18.4%	20.5%	18.3%	19.5%
h)	Minimum statutory ratio	8.0%	8.0%	8.0%	10.5%
i)	Excess / (Defeciency)	10.4%	12.5%	10.3%	9.0%
j)	Core capital / total risk weighted assets	18.5%	22.7%	20.0%	14.8%
k)	Minimum statutory ratio	8.0%	8.0%	8.0%	10.5%
l)	Excess / (Defeciency)	10.5%	14.7%	12.1%	4.3%
m)	Total capital / total risk weighted assets	22.0%	25.8%	22.8%	16.0%
n)	Minimum statutory ratio	12.0%	12.0%	12.0%	14.5%
o)	Excess / (Defeciency)	10.0%	13.8%	10.8%	1.5%
5	**Liquidity**				
a)	Liquidity ratio	39.7%	46.8%	45.8%	44.9%
b)	Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c)	Excess / (Defeciency)	19.7%	26.8%	25.8%	24.9%